

Calculating Net Worth: Your Financial Snapshot

As with any road map, before you can determine how to get from here to there, you need to know where “here” is. Where do you stand financially? Answering this critical question is the job of the net worth statement.

Your net worth is the difference between all the things of value that you own and all the debts you owe—or in financial terms, your assets minus your liabilities. Your net worth statement is a list of each of these items and their current value or balance.

Why You Need a Net Worth Statement

The net worth statement gives you a snapshot of your financial condition at this moment in time. You need this information in order to effectively set the financial goals that you’ll be working toward, assess your progress along the way, and make adjustments, using the important clues gleaned from updating your net worth statement on a regular basis. It will also come in handy when applying for a mortgage, credit card, or car loan.

Sometimes people avoid making a list of their debts because they’re afraid they won’t like what they find or they believe they already have a good “gut feel” for their overall financial picture. However, burying your head in the sand like the proverbial ostrich won’t get you far, and gut feelings can be way off the mark. Not having a handle on your financial condition can seriously hurt you in a time of crisis, such as a job loss or disability, and it’s difficult, if not impossible, to plan for the future if you don’t know where you are today.

How to Prepare a Net Worth Statement

Start by listing all the things of value that you own, even if you owe money on them, such as your house and car. Use their full market value as of today. The balances of the loans related to these assets will be included in the liabilities section, so your equity in the assets you list won’t be overstated. For bonds, stock options, and retirement accounts, use the